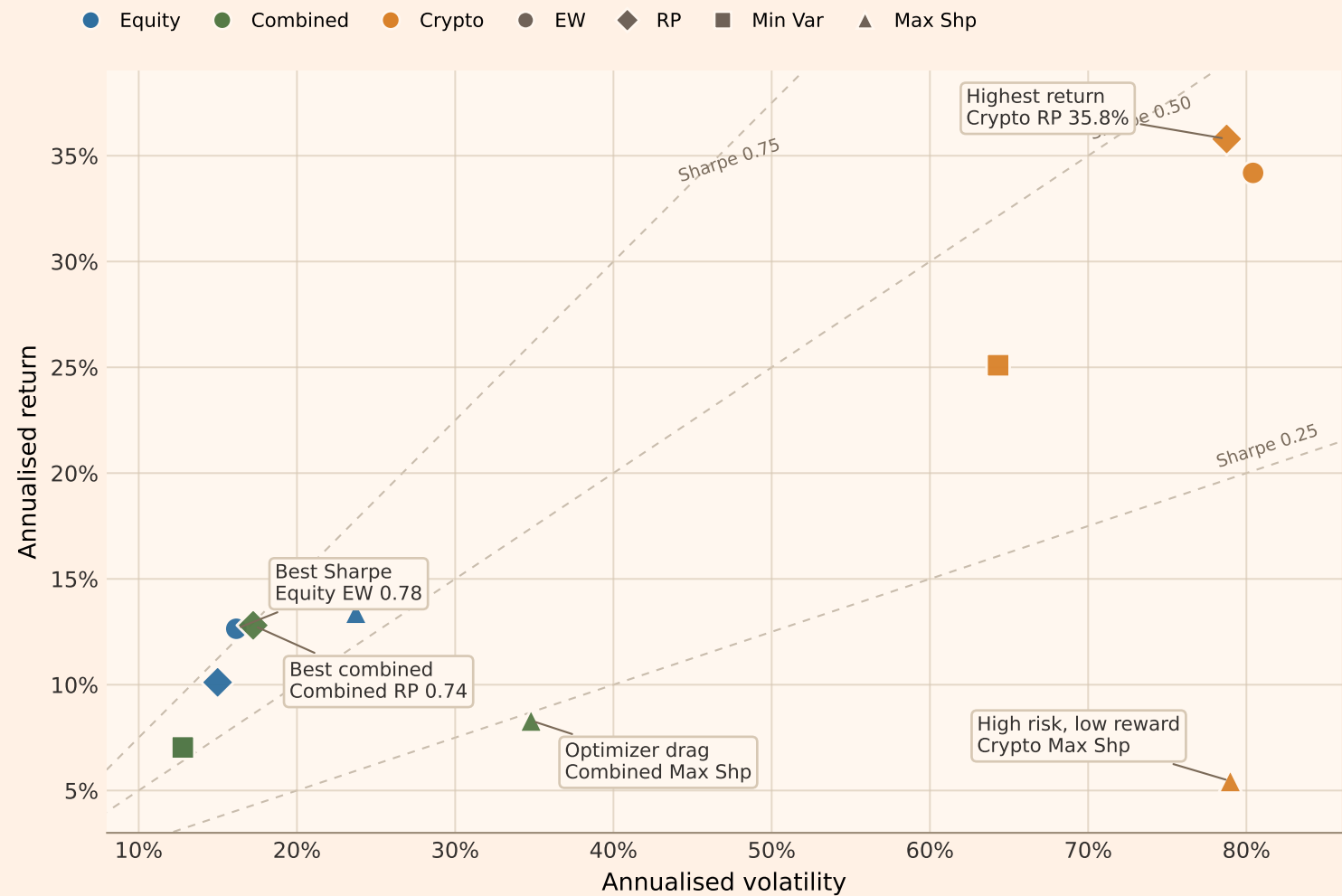


Risk-return map: diversification beats chasing raw crypto return

Out-of-sample annualised return versus volatility, Jan 2021-Dec 2023. Dotted lines show zero-rate Sharpe guides.



Risk-adjusted scorecard

Sorted by Sharpe ratio

Best Sharpe Equity EW 0.78

Highest return Crypto RP 35.8%

Fund	Ret	Vol	Shp	DD
Equity EW	13%	16%	0.78	-20%
Combined RP	13%	17%	0.74	-23%
Combined EW	15%	21%	0.70	-29%
Equity RP	10%	15%	0.67	-20%
Equity Max Shp	13%	24%	0.56	-38%
Equity Min Var	7%	13%	0.55	-18%
Combined Min Var	7%	13%	0.55	-18%
Crypto RP	36%	79%	0.45	-80%
Crypto EW	34%	80%	0.43	-82%
Crypto Min Var	25%	64%	0.39	-76%
Combined Max Shp	8%	35%	0.24	-53%
Crypto Max Shp	5%	79%	0.07	-85%

Read-through

Crypto dominates raw return but sits far right. Equity EW and Combined RP deliver better risk-adjusted results for a coursework investor.

Source: NovaAlloc results/tables/performance_metrics.csv.
Note: Return, volatility and Sharpe are annualised from daily out-of-sample returns. Sharpe assumes a zero risk-free rate.